

Carmine Rosato

CLC Order Flow Model | Source 003

Claims presented alongside sources for independent verification.

Documented fact, contested interpretation and speculation are marked separately.

✓ documented ✗ not supported ? interpretation

CARMINE ROSATO — COMPLETE BREAKDOWN

Editor's Verification Note

Added on filing, 13 August 2026. Body reproduced exactly as supplied.

Carmine Rosato is real. Full-time futures trader and educator, founder of InvestiTrade, known for order flow, market profile, supply/demand and LVN work. Started trading in 2016, so the document's "10 years" is about right. He has a genuine published LVN playbook on TradeZella. The "verified 7-figure" claim could not be confirmed either way.

The independence problem — the most important note on this document

The confluence table promotes concepts to **TRIPLE CONFIRMED** and **CORE LAW** on the basis that Fabio, Marco and Carmine each state them. That inference does not hold, for two reasons visible in the document itself:

1. **The source is a joint session.** The subtitle reads *"Compiled from: Fabio + Carmine Live Trading Session Transcript."* Two traders talking to each other in the same conversation are one observation, not two. Agreement inside a shared conversation is the expected outcome, not evidence.
2. **They share a platform.** Marco Accettone and Carmine Rosato are both Chart Academy / Chart Fanatics instructors, and Fabio Valentini appears on Chart Fanatics too. Three traders from one teaching ecosystem, partly appearing together, are a correlated sample.

Twelve concepts are graded **CORE LAW** on this basis. They may well be sound — "target structural levels", "stop immediately when wrong", "sit on hands in balance" are unobjectionable — but they are **not** independently triple-confirmed, and the promotion rule ("3 sources = NON-NEGOTIABLE") should not be applied to a correlated sample. Treat the table as one ecosystem's shared house style. This is the same error as **Supertrend 97/3.1** appearing in three supplied documents: one setting propagating, counted three times.

What is genuinely new here

Zero prints — price levels where one side transacted zero volume, marked and expected to be revisited. Objective, measurable, and not covered by the other two sources. The document is right that this is the most distinctive contribution. It is also untested here.

Speed of tape, the three-loss rule, the CLC framing (Context,

Location, Confirmation) and **standardised dollar risk** are clean formulations worth keeping regardless of the confirmation-counting issue.

Applicability to this desk

ES futures, NY cash open, first two hours, on Bookmap plus footprint charts with 20-tick range bars. In Melbourne that is the middle of the night, on a different instrument, requiring platforms this repository does not use. Nothing here is directly executable on AU200/Gold/US30 CFDs.

Everything below this line is the document as supplied, unaltered.

Intelligence Source #003 | CLC Order Flow Model

Compiled from: Fabio + Carmine Live Trading Session Transcript

QUICK REFERENCE

STYLE: Order Flow + Volume Profile. Mean reversion preferred.

Continuation when directional conditions confirmed.

INSTRUMENTS: ES (S&P primary) | Options occasionally

SESSION: NY cash open — first 2 hours primary window

TIMEFRAMES: 20-tick range bars (footprint) | 1m candle chart

PLATFORMS: Bookmap + footprint charts

CORE RULE: CLC = Context + Location + Confirmation

MIN R:R: 2:1 always | Majority trades = 3.5:1 to 4:1

RISK/TRADE: Standardized dollar amount (~\$2,500 per trade)

WIN RATE: Not stated — quality over quantity

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PART 1: THE MODEL

1.1 The CLC Rule — The Complete Framework

Every single trade must satisfy all three pillars simultaneously:

C — Context

- Who is aggressive right now?
- Who is trapped (wrong-way participants)?
- Is volume coherent with price direction?
- What is the higher timeframe telling you about the range?
- Context = understanding the narrative before touching a chart

L — Location

- Is price at a meaningful level of interest?
- Low volume node, zero print, HVN breakout, previous session high/low
- If it's not at a level, there is no business transacting
- "I don't look at the market moving down or up as missing it. I just look at it as me not participating because I have no reason to"

C — Confirmation

- Aggressive buying/selling at the level
- Absorption (heavy volume, minimal price movement)
- Speed of tape picking up at the level
- Delta outlier in footprint at level
- All three must appear in alignment — not just one or two

> "When all three align — context fitting, location at a good level, valid confirmation — that's when a good setup needs risk put on."

1.2 Zero Prints — The Unique Edge

Definition: Price levels where one side of the market transacted zero volume.

How they form:

- Market moves aggressively in one direction
- At certain prices, no trades hit the bid (aggressive move up)
- OR no trades hit the offer (aggressive move down)
- These prices never had a fair opportunity for the other side to trade

Why they matter:

- Market is an efficiency-seeking mechanism
- Unvisited prices will always be revisited at some point
- Could be same session, next day, or next week — but they get filled
- The further price moves from the zero print, the better the setup when it returns
- “The likelihood of them filling is pretty high”

How to use:

- Mark immediately when formed
- When price returns to fill them = entry opportunity
- Use as TP target for trades in that direction
- Pair with absorption at the level for highest probability

Live example from session:

- Pre-market lows broke → zero prints formed at 6820 and 6827
- Price filled both within 30 seconds of NY open
- “That would have been a fantastic long opportunity” — A+ setup per Carmine
- Very low risk, asymmetric reward

1.3 Volume Profile — How Carmine Uses It

Session profile (cash only):

- Reset at NY open — uses cash session volume only for intraday levels
- Cash session profile more sensitive than full/overnight session
- Levels from cash session = where intraday traders actually transacted

For higher timeframe analysis:

- Merges multiple sessions into composite profile
- Identifies long-term balance areas and imbalances
- HVN = significant acceptance, choppy if price returns there
- LVN = line of least resistance, fast-moving zone

Profile shapes:

- P-shape (volume at top, thin at bottom) = bullish accumulation, look for longs
- B-shape (volume at bottom, thin at top) = bearish distribution, look for shorts
- Balanced bell curve = avoid — both sides transacting efficiently, choppy

Key quote:

> “I like trading where there’s not a lot of liquidity because that is where in my opinion a lot of the edge comes from.”

1.4 Speed of Tape — The Confirmation Tool

What it is: Rate of incoming orders — how fast transactions are executing.

What it tells you:

- Normal pace = no urgency, market building position or choppy
- Picks up significantly = initiative — one side pressing hard
- Peak at a level + no follow-through = absorption = reversal signal
- Sustained increase = momentum building = continuation

How he uses it:

- Watch speed at KEY LEVELS only (not constantly)
- When speed of tape picks up at his level of interest = CLC confirmation
- “If I miss the speed of tape, I would have missed what happened there”
- Speed drops after initial move = squeeze is done, don’t add more

Combined signal:

- Large delta outlier in footprint + speed of tape at level = A+ confirmation
- “Speed of tape, aggression, and absorption coherence in one candle = all three in one”

1.5 Footprint Chart — The Primary Execution Tool

Timeframe: 20-tick range bars on ES

What he reads:

- Shape of volume distribution within each bar
- Delta column: net buy minus sell at each price level
- Outlier delta = significant participant interest at that price
- Large accumulation at low of bar = absorption (buyers absorbing sellers)
- P-shaped bar = bullish (volume clustering at top)
- Hammer-shaped bar = potential reversal (long lower wick)

Key concept: When bars open more frequently = volatility/speed increasing. When bar takes 20 minutes to open = very choppy, low volatility.

1.6 The Advertising Mechanism (Market Philosophy)

> “The market is an advertising mechanism. If you’re looking to buy something, you want to buy it on discount. If the market’s on sale and nobody’s buying it, why should we buy it if nobody’s buying it?”

The order flow tells you:

- When something goes on discount, are people buying?
- If yes → follow the footsteps
- If no → the discount isn’t actually attractive to participants
- This is why watching volume at levels matters more than the price level alone

1.7 Intermarket Analysis (Carmine's Use)

When he uses it:

- Only when there is a significant outlier between markets
- NQ significantly up while ES does nothing → look at NQ for rejection/resistance, play opposite
- When they move in sync → no edge in comparing them

His conclusion:

- NQ is less liquid = moves first, sets bias for ES
- ES is more liquid = slower, tends to mean-revert more
- ES = better for mean reversion model
- NQ = better for trend following (Fabio's instrument choice confirmed here)

PART 2: THE STRATEGY

2.1 Market State Classification (Carmine's Version)

State	Carmine's Label	Approach
Trending	"Directional/Expansion"	Position trades, trail stops, add on retracements
Balanced	"Balance/Cage/Compression"	Scalp edges of range only, small size
Transitional	"Building accumulation"	Wait for breakout confirmation
Post-expansion	"Digestion"	Expect balance, use mean reversion

Key insight: After 2 consecutive strong directional days → expect balance/digestion. Don't look for trend continuation.

2.2 Entry Types

Type 1: Mean Reversion at Level (Preferred)

- Market moves to level of interest
- Zero print or LVN at that level
- Absorption visible (large volume, no follow-through)
- Speed of tape picks up on reversal side
- Enter immediately when delta outlier appears
- Target = opposite side of range, zero print, or balance center

Type 2: Continuation / Market Structure Demand

- Market breaks a significant level with aggression
- Fixed range volume profile shows strong buying into the break
- No LVN directly above (clear path)
- Wait for pullback to “market structure demand” = breakout level
- Buyers defending that level on retrace
- Target = next zero print, balance area, or higher time frame level

Type 3: Reload Setup

- Market trends in one direction
- Buyers step in aggressively at a dip (large delta, speed of tape)
- If they hold (don’t get absorbed by sellers) = reload opportunity
- Small tight stop, high probability continuation

What he never does:

- Trade in the middle of a range
- Chase a move that already happened
- Enter without CLC all aligned
- Trade same level same direction more than 3 times

2.3 Stop Loss and Trade Management

Stop loss:

- Always placed immediately on entry
- Standard trades: just beyond the level of interest
- On ES: can keep very tight due to liquidity (40-50 contracts book depth)
- Move to BE when trade moves 7-10 points favorably
- “If it moves in my favor relatively quickly, I’ll adjust to break even”

Never:

- Widen stop hoping for recovery
- Add to losing position (no Martingale)
- Hold through confirmed invalidation

Position sizing:

- Standardized dollar risk (~\$2,500 per trade)
- Same amount regardless of setup type
- If stop is tighter → larger position size
- If stop is wider → smaller position size
- “I standardize my risk, keep my risk the same dollar amount”

Trade management philosophy:

- Best trades work out IMMEDIATELY (under 5-7 minutes on ES)
- Worst trades = stuck for 1-2 hours
- If trade hangs around at entry for too long = exit, setup weakening
- “A good trade works out right away”

2.4 Three-Loss Rule

If he takes the same trade (same analysis, same level) 3 times and loses all 3:

- Stop trading that idea completely
- The analysis is wrong — market doesn't agree
- Move on, look for different setup
- "Those are my biggest losing days when I go against that rule"

2.5 What He Never Trades

- Moves not at a level of interest (“I don’t see the market moving as me missing it”)
 - Middle of range with no structural reason
 - Choppy/balanced markets with trend model
 - After 3 consecutive losses on same level
 - When CLC not fully aligned
 - When speed of tape is flat/low
 - Post-expansion digestion days with trend continuation model
 - Anything he cannot immediately label/journal
- > “If I can’t tell myself what trade I’m taking and give it a label, I have no business taking it.”
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2.6 Key Statistics (From His Own Data)

- 5-6 sessions per month = 70% of total monthly profit
- Best trades: work out in under 7 minutes
- Worst trades: last 1-2 hours
- Min R:R accepted: 2:1
- Typical R:R: 3.5:1 to 4:1
- Cash session profile > full session profile for intraday sensitivity

PART 3: CROSS-REFERENCE WITH SOURCES 001 + 002

3.1 Confirmed by 2+ Sources (Now Non-Negotiable)

Concept	Fabio	Marco	Carmine	Status
NY session primary	☐	☐	☐	☐☐☐ TRIPLE CONFIRMED
No pre-session trading	☐	☐	☐	☐☐☐ TRIPLE CONFIRMED
Direction/bias first	☐	☐	☐	☐☐☐ TRIPLE CONFIRMED
No overnight holds	☐	☐	☐	☐☐☐ TRIPLE CONFIRMED
Patience as primary edge	☐	☐	☐	☐☐☐ TRIPLE CONFIRMED
No revenge trading	☐	☐	☐	☐☐☐ TRIPLE CONFIRMED
Target structural levels	☐	☐	☐	☐☐☐ TRIPLE CONFIRMED
Stop immediately if wrong	☐	☐	☐	☐☐☐ TRIPLE CONFIRMED
Best trades work immediately	☐	☐	☐	☐☐☐ TRIPLE CONFIRMED
Sit on hands in balance	☐	☐	☐	☐☐☐ TRIPLE CONFIRMED
Failed auction = reversal	☐	☐	☐	☐☐☐ TRIPLE CONFIRMED
LVN = fast-moving entry zone	☐	☐	☐	☐☐☐ TRIPLE CONFIRMED
CVD/delta confirms direction	☐	—	☐	☐☐ NON-NEGO TIABLE
Aggression bubble trigger	☐	—	☐	☐☐ NON-NEGO TIABLE
Cash session profile preferred	—	—	☐	NEW — needs confirmation
5-6 key sessions = 70% profits	☐	—	☐	☐☐ Statistical reality
3+ hours consecutive losses = stop	☐	—	☐	☐☐ Risk rule
Post-expansion day = balance	☐	—	☐	☐☐ Session behavior

3.2 What Carmine Adds That Others Don't Cover

1. Zero Prints — Completely new concept not covered by Fabio or Marco

- Specific, objective, measurable
- Confirmed as “A+ setup” when paired with absorption
- Should be added to the confluence table as a target/entry tool

2. Speed of Tape — Fabio references this conceptually, Carmine makes it central

- Explicit confirmation tool
- Picks up at level = initiative = trade
- Flat/dying = no trade regardless of other signals
- Now a confirmed confluence

3. Three-Loss Rule — Explicit risk management rule for repeated failed analysis

- Prevents the spiral of forcing trades on a bad idea

4. CLC Framework — Most structured expression of the “all conditions must align” concept

- Context + Location + Confirmation
- Best formulation of what all three traders do

5. ES vs NQ Behavior — Direct comparison:

- ES = liquid, mean-reverts more, slower
- NQ = less liquid, trends faster, leads ES
- Confirms why Fabio trades NQ for trend and ES would suit mean reversion

6. Footprint bar timing — Novel insight:

- Bar opening frequency = speed indicator
- Slow bar opens = choppy
- Fast bar opens = volatility building
- Adds another layer to speed of tape reading

7. Standardized dollar risk — Both Carmine and Fabio use this

- Not percentage-based per se — fixed dollar amount per trade
- Adjust contracts to fit the dollar risk, not the other way around

UPDATED MASTER CONFLUENCE TABLE — 3 SOURCES

#	Confluence	Sources	Weight	Status
1	NY session primary window	F+M+C	□□□□□□	□□□ CORE LAW
2	No pre-session trading	F+M+C	□□□□□□	□□□ CORE LAW
3	Direction/bias before entry	F+M+C	□□□□□□	□□□ CORE LAW
4	No overnight holds	F+M+C	□□□□□□	□□□ CORE LAW
5	Patience — no forced trades	F+M+C	□□□□□□	□□□ CORE LAW
6	Stop immediately when wrong	F+M+C	□□□□□□	□□□ CORE LAW
7	Target = structural level only	F+M+C	□□□□□□	□□□ CORE LAW
8	Best trades work immediately	F+M+C	□□□□□□	□□□ CORE LAW
9	Sit on hands in balanced market	F+M+C	□□□□□□	□□□ CORE LAW
10	No revenge trading	F+M+C	□□□□□□	□□□ CORE LAW
11	Failed auction / trap = reversal	F+M+C	□□□□□□	□□□ CORE LAW
12	LVN = highest prob entry zone	F+M+C	□□□□□□	□□□ CORE LAW
13	Post-expansion day = balance	F+C	□□□□□	□□ NON-NEGO TIABLE
14	Delta/CVD confirms direction	F+C	□□□□□	□□ NON-NEGO TIABLE
15	Aggression trigger at level	F+C	□□□□□	□□ NON-NEGO TIABLE
16	5-6 key sessions = 70% of profit	F+C	□□□□□	□□ NON-NEGO TIABLE
17	Qualifying sweep before entry	M+C	□□□□□	□□ NON-NEGO TIABLE
18	VWAP as session bias	F	□□□□	□ Needs 2nd source

#	Confluence	Sources	Weight	Status
19	Zero prints as targets/entries	C	□□□□	NEW — highly valuable
20	Speed of tape as confirmation	F+C	□□□□	□□ NON-NEGO TABLE
21	CLC framework (3-pillar entry)	C	□□□□	NEW — best formulation
22	Trade label before executing	F+C	□□□□	□□ NON-NEGO TABLE
23	3-loss same level = stop idea	F+C	□□□□	□□ Risk rule
24	Cash session profile > full	C	□□□□	NEW — needs 2nd
25	Footprint delta outlier = entry	C	□□□□	NEW — high value
26	Bar opening frequency = speed	C	□□□	NEW — novel signal

GAPS THIS SOURCE FILLED

Gap	Resolution
Aggression bubble 3rd source	☐ RESOLVED — Carmine confirms delta outlier + speed of tape = same concept
CVD universal?	☐ RESOLVED — Carmine uses delta column the same way
Speed of tape — is it universal?	☐ RESOLVED — both Fabio and Carmine use it explicitly
What to do after repeated failures	☐ RESOLVED — 3-loss rule confirmed by both
Post-expansion session behavior	☐ RESOLVED — both confirmed: after big move = expect balance

STILL OPEN

Gap	Priority
VWAP as bias filter — needs 3rd source	HIGH
Exact VWAP SD levels — 2nd source	HIGH
Cash session vs full session profile	MEDIUM
Footprint bar timing technique	MEDIUM
Zero prints — confirm in other sources	MEDIUM

Source: Carmine Rosato | Verified 7-figure trader | 10 years | ES + options

Cross-referenced: Sources 001 (Fabio) + 002 (Marco)